



Effectiveness of SIP Investment Among Retail Investors in Jharkhand: A Survey-based Study

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Abstract – This research project Effectiveness of SIP Investment Among Retail Investors in Jharkhand explores the effectiveness of Systematic Investment Plans (SIPs) as a preferred investment option among retail investors in the state of Jharkhand. The study aims to analyse investor awareness, behaviour, and satisfaction with returns from SIP investments, and to assess the role SIPs in helping investors to achieve their financial goals. The research adopts a descriptive design and uses a quantitative approach. Primary data was collected through structured questionnaires administered to 205 retail investors across major cities and towns in Jharkhand, including Ranchi. Secondary data sources such as AMFI reports, SEBI Annual Reports and mutual fund statistics were also referred to support the findings of the research project. For data analysis, statistical tools such as ANOVA and Linear Regression were used. ANOVA was used to examine differences in investment behaviour across demographic groups such as age, income, and education level. Linear regression analysis helped to assess the relationship between investor awareness, factors affecting investment, and satisfaction levels. The use of these analytical tools ensured a more unbiased and data-driven interpretation of the results. The results indicate that a significant proportion of retail investors perceive SIPs as a disciplined and low-risk investment option, especially for long-term wealth creation. Factors such as regular income, ease of access, and market volatility hedging were found to influence investor preference for SIPs. However, gaps in financial literacy and limited understanding of market dynamics were observed, particularly among first-time investors. The study concludes that while SIPs are effective in promoting regular investment habits and fostering financial inclusion, their success largely depends on investor education and awareness. It recommends enhanced financial literacy campaigns and personalized advisory services to improve SIP effectiveness and penetration in Jharkhand.

Keywords – Systematic Investment Plan, Retail Investors, Financial Literacy, Investment Behaviour, Mutual Funds.

I. INTRODUCTION

Particularly for Indian retail investors, Systematic Investment Plans (SIPs) have become a ground-breaking method of mutual fund investing. SIPs have become increasingly popular as financial literacy rises and more people look for organized, disciplined ways to invest. SIPs offer a promising investment tool in states like Jharkhand, which are progressively shifting from historically conservative financial behavior to more market-linked options. However, a number of variables, such as awareness, accessibility, income levels, and financial inclusion, affect how successful SIP investments are among Jharkhand's retail investors. The purpose of this study is to assess how well SIPs support the financial objectives and investing behaviors of local investors by examining their relevance and impact within this particular regional context.

One of the ways to consistently invest a set amount in a mutual fund scheme is through a Systematic Investment Plan (SIP). Investors build their investment corpus gradually by making periodic contributions, typically monthly, as opposed to making a sizable investment all at once. SIPs are especially well-suited for long-term financial objectives like children's education, retirement, or home ownership because they operate on the basis of concepts like rupee cost averaging and the power of compounding. SIPs offer retail investors, especially those in Jharkhand's semi-urban and rural regions, an approachable and structured way to build wealth without requiring a sizable initial investment or in-depth market knowledge.

Features of SIP

SIPs' regularity and simplicity are two of their main characteristics. It is a great choice for people with modest incomes because investors can begin with as little as ₹500 per month. The auto-debit feature encourages financial discipline by guaranteeing that investments are made on a regular basis. Rupee cost averaging is another crucial feature that lowers the risk involved with market timing by assisting investors in averaging the cost of mutual fund units during market ups and downs. Compounding returns, in which reinvested gains produce additional returns over time, are another advantage of SIPs that greatly improve wealth creation over the long term. Additionally, SIPs are very flexible, enabling investors to alter their contributions in accordance with their financial circumstances.

Benefits of SIP

SIPs have many benefits, especially for individual investors in a developing state like Jharkhand. First and foremost, SIPs are very reasonably priced, making it possible for even modest savers to participate in the financial markets. In an area where unofficial financial practices are still common, they promote the habit of consistent saving, which is essential.

Without putting investors at undue risk, SIPs have the potential to yield larger returns than more conventional investment options like fixed deposits or recurring deposits. Their long-term orientation also fits in nicely with financial objectives that call for consistent and steady growth. Furthermore, SIPs are becoming more widely available, even in Jharkhand's more rural areas, as financial services become more mobile-friendly and digitalized.



Drawbacks of SIP

SIPs have drawbacks despite their benefits. The general public's ignorance of mutual funds and SIPs is one of the main drawbacks in the context of Jharkhand. Many districts continue to have low levels of financial literacy, which frequently results in hesitancy or inaccurate information regarding investments linked to the market. The reliance of many retail investors on middlemen like agents and distributors may not always produce objective or accurate investment advice. Furthermore, SIPs do not guarantee returns and are still vulnerable to market swings, even though they lessen the risks connected with lump sum investments. Another major issue is the digital divide, which makes it difficult for many prospective investors in rural and semi-urban areas to access or use online investment platforms.

Need For The Study

- SIPs are gaining strong popularity among Indian retail investors due to their flexibility, affordability, and disciplined wealth-creation approach, leading to a steady rise in SIP accounts and contributions nationwide.
- There is a need to analyze region-specific investment behaviour, particularly in Jharkhand, where despite economic and educational growth, investor awareness and adoption of SIPs remain under-researched.
- Understanding Jharkhand investors' perception, awareness, risk attitude, and investment channels regarding SIPs is essential for designing localized financial education and inclusive investment strategies.
- Financial literacy plays a critical role in influencing SIP adoption, enabling informed decision-making and long-term investment discipline.
- The study aims to examine the relationship between financial literacy and SIP participation in Jharkhand, providing insights useful for policymakers, financial institutions, and educational bodies.

II. LITERATURE REVIEW

Amudha.A.(2018)¹ A study in Erode District, Tamil Nadu, surveyed 200 respondents to assess how age, gender, income, and social status influence SIP awareness and preferences. It found that most learned about SIPs online (25.5%) and preferred balanced fund schemes (24.5%). Age and gender showed no significant correlation with investment behaviour.

Uddin, A. N. I. C. H. (2016)² The study explores factors influencing SIP investments in Gandhinagar, Gujarat, focusing on investment purpose, amount, awareness, and sector preferences. Based on 100 active SIP investors, it highlights SIPs' role in promoting disciplined, volatility-protected investing. While male investors dominate numerically, female investors show a stronger preference for equity-oriented SIPs over debt options.

Hetvi, P., et. al. (2024)³ A study in Ahmedabad compared SIPs and Lump Sum Investments among 155 respondents, mostly aged 18–21, focusing on risk, wealth creation, and investor behaviour. It found SIPs offer disciplined, lower-risk investing with consistent long-term returns. The study recommends further research on market impact, psychological factors, and technology's role in investment decisions.

Roy. D., & Ghosh. K. (2011)⁴ The study examined SIP investment patterns among HDFC Bank customers at Shyambazar Branch, Kolkata, focusing on North Kolkata residents. It found that younger and higher-income individuals are more inclined toward SIPs and equity investments, while service holders prefer safer options. However, limited awareness, small sample size, and time constraints affected the study's depth.

Gupta, D., & Shukla, N. (2023)⁵ The study examined SIPs' potential for income growth and compared them with lump sum investments, focusing on salaried investors using data from 129 respondents. It found that higher-income individuals are more risk-tolerant, while salaried investors prefer safer options like FDs and bonds. SIPs emerged as a safer, more beneficial choice for small and young investors, despite limitations in scope, and respondent disclosure.

Aurora, R. S. (2020)⁶ A study of 200 SIP investors in Mumbai examined factors like investment purpose, suitable amounts, and awareness of mutual funds. It found that lack of knowledge about SIP platforms is a major barrier to wider adoption. Despite this, investors are primarily drawn to SIPs for their potential to offer higher returns with lower risk.

Preety, M. U. T., & Vaish, D. (2024)⁷ A study in Meerut City surveyed 400 respondents to assess awareness and perception of SIPs, using random sampling and percentage analysis. It found that most investors were employed males aged 26–40, prioritizing safety in their investments. While offering useful insights, the findings are geographically limited and may not apply to other regions.

Ujgaonkar, S. P., & Iyer, R. R. (2024)⁸ A study of 100 Gen Z investors explored their investment behaviour towards FDs and SIPs using a structured questionnaire. It found that 76% preferred SIPs due to higher returns, better liquidity, and effective tax planning. Only 24% chose FDs, highlighting a generational shift towards market-linked investments.

Varma, P., & Jana, C. (2024)⁹ A survey of 423 respondents in Kolkata and Delhi analyzed how demographics impact investment patterns and mutual fund perceptions. Mutual funds were favored across age groups, especially among educated individuals; males ranked them highest, while females slightly preferred fixed deposits. The study's limited geographic and asset focus suggests scope for broader future research.



Dominic, R., Dominic, N., & Akhila, P. A. (2023)¹⁰ A study in Ernakulam District surveyed 106 salaried employees to explore factors influencing SIP investments using SPSS analysis. It found that demographic variables like age, income, and qualification were independent of investment preferences. The study concluded SIPs are ideal for small or first-time investors seeking long-term, low-risk returns through regular contributions.

Esakkiammal, et.al.¹¹ The study analysed responses from 160 investors to examine factors influencing behaviour and satisfaction with SIPs, using various statistical tools. Key factors included risk tolerance, return expectations, financial literacy, and demographics. Findings offered insights into investor motivations and challenges, helping financial institutions tailor SIP offerings to enhance engagement and satisfaction.

Shirke, S., & Kumar, A (2025)¹² The study examined the role of mutual fund distributors, particularly at NJ India Invest Pvt. Ltd., in fostering long-term SIP investor relationships. Surveys and interviews revealed that 81.2% of investors rely on distributors, with 89% experiencing improved portfolio performance due to their guidance. Trust, communication, and personalized advice were key to investor satisfaction, highlighting the need for enhanced distributor services and training.

Maurya, M. K., et. al.¹³ The study used secondary data to analyse SIP growth and impact post-2008 market crash, focusing on investor trends and market performance. It found SIPs popular due to goal-based investing and lower risk, especially for those without large capital. However, investors often overlook varying risk levels across mutual fund schemes.

Jagtap, M. V. (2024)¹⁴ A study in Karad city surveyed 200 respondents using snowball sampling to examine factors influencing SIP investments. Statistical analysis showed gender and education had a negative but insignificant impact on SIP participation. Income, however, had a significant positive correlation, indicating higher income levels boost SIP investment likelihood.

Sharma, K., & Joshi, P. (2023)¹⁵ The study in North Ahmedabad assessed awareness, objectives, and factors influencing SIP investments among 100 respondents. Of these, 39 preferred SIPs, viewing them as tools for long-term stability and family prosperity. Using statistical analysis in SPSS, the study offers insights valuable to investors, institutions, and policymakers for tailoring financial education and products.

Singh. B.K. & Jha. A.K (2009)¹⁶ A survey of 150 retail investors in Ranchi assessed mutual fund and SIP awareness using quota sampling. Half of the respondents were aware of mutual funds, learning mainly through friends and brokers, and associated them with safety, wealth creation, tax benefits, and income. Key investment drivers

included security, liquidity, and high returns, reflecting diverse investor priorities.

Geetha Rani, V.¹⁷ The study surveyed 390 organized sector employees across Kerala to assess SIP awareness, benefits, and perceptions. Using a structured questionnaire and statistical analysis, it found a mean awareness score of 1.79—significantly below average. This indicates low awareness of SIPs among salaried employees in the state.

Venkataramani, R., & Kayal, P. (2023)¹⁸ The study evaluated SIP performance and market timing strategies using NIFTY50 components. It found SIPs effective for long-term investing, especially in low to moderate volatility stocks, while momentum strategies suit volatile markets. High ROCE stocks favored SIPs, highlighting their strength in long-term wealth creation.

Gupta, P. P.¹⁹ The study examined factors influencing SIP investments in India's mutual fund industry, focusing on benefits, returns, and investor preferences. Using secondary data from sources like AMFI and SEBI, it highlighted SIPs as convenient and ideal for small to medium-income investors. It also found that investors prioritize high returns with low risk and increasingly rely on the internet for informed decisions.

Somani, R., & Sharma, S. (2017)²⁰ The study analysed investment decisions with a focus on SIPs vs. Lump Sum strategies in portfolio management using Nifty midcap stocks from 2001 to 2014. It emphasized the importance of long-term planning and the variety of investment options available. Findings revealed that SIPs consistently outperformed Lump Sum investments, proving more effective for long-term portfolio growth.

Borgaon, H. (2020)²¹ The study compared SIPs and One-Time Investment Plans by analysing returns using CAGR for lump sum and XIRR for SIPs. It aimed to guide novice investors in choosing suitable investment strategies. Findings indicated that one-time investments generally provide better returns than SIPs for those with available lump sums.

III. RESEARCH GAP

The increasing acceptance of Systematic Investment Plans (SIPs) across India has not been matched by adequate research on retail investor behaviour in Jharkhand. Most existing studies focus on metropolitan regions, creating a research gap for smaller markets like Jharkhand. There is a lack of empirical data on awareness, perception, and adoption of SIPs among retail investors in the state. This gap limits understanding of how socio-economic factors like age, income, education, and financial literacy affect SIP investment behaviour. The main challenges include limited existing research, inadequate SIP-specific data, and a need for further investigation into regional investor behaviour. Most of what is known about Jharkhand's investors comes



from national-level studies, which may not accurately reflect local realities.

Extrapolating from such studies overlooks the unique socio-economic and cultural context of Jharkhand. There is no clear data on SIP adoption rates or the level of awareness among retail investors in the state. This lack of measurable data hinders efforts to design effective strategies for promoting SIPs. Understanding the preferences and barriers faced by investors requires region-specific research. Given Jharkhand's unique demographic and financial inclusion profile, relying on national SIP trends may lead to flawed assumptions. Targeted studies are essential for crafting effective financial education and inclusion strategies. Without them, promoting SIPs in Jharkhand remains a challenge.

IV. OBJECTIVES OF THE STUDY

1. To assess the awareness and understanding of SIPs among retail investors.
2. To analyse factors influencing SIP investment decisions (income, risk perception, financial literacy).
3. To measure investor satisfaction and confidence in SIP investments.
4. To identify challenges investors face in SIP investments.
5. To suggest strategies to improve SIP participation in Jharkhand.

V. HYPOTHESIS OF THE STUDY

H1: Higher financial literacy leads to increased SIP adoption among retail investors in Jharkhand.

VI. RESEARCH METHODOLOGY

Research Design

Research design is the plan or blueprint for a research study. It outlines how data will be collected, measured, and analysed to answer research questions or test hypothesis. A well-structured research design ensures that the study is systematic and logical and minimizing errors.

1. **Descriptive Research Approach:** This approach of research design describes the characteristics of a population or phenomenon. Some common methods of this approach are Surveys, observational studies, case reports, etc.
2. **Analytical Research Approach:** The Analytical approach helps in analysing relationships between variables. Methods used under this approach are Correlation studies, regression analysis, and ANOVA.

Sources Of Data

1. Primary source:

A primary source of data collection refers to data that is collected first-hand by the researcher for a specific research purpose. For the project on the topic "Effectiveness of SIP investment among retail investors in Jharkhand," the source

for collecting data is Questionnaire with a 5-point Likert Scale.

2. Secondary source:

A secondary source of data collection involves using data that has already been collected, gathered, and published by someone else for a different purpose. For project on the topic "Effectiveness of SIP among retail investors in Jharkhand," data are obtained from various secondary sources like:

- AMFI (Association of Mutual Funds in India),
- SEBI reports, or
- Published surveys on mutual fund trends,
- RBI Reports

Sampling Method and Sample Size

Convenience sampling method:

Convenience Sampling is a non-probability sampling method where participants are selected based on their easy availability, accessibility, and proximity to the researcher. Instead of randomly choosing individuals from the entire population, the researcher selects those who are most conveniently available. This method is commonly used in exploratory research or when there are time, budget, or logistical constraints. However, it often results in sampling bias and limits the generalizability of the research findings, as the sample may not accurately represent the entire population. To obtain responses which can be reliable and relevant for the purpose of hypothesis testing Convenience Sampling Method is used.

Sample Size:

Sample size refers to the number of individuals or observations counted in a research study. It is a subset of the entire population and is selected to represent the characteristics of the whole group. The sample size affects the accuracy of the results, statistical significance, and applicability and relevance of conclusions. A total sample size of 205 respondents was selected for the research study using stratified random sampling, ensuring diverse representation across age, gender, and income.

Data Collection Method

Structured Questionnaire: A structured Questionnaire was prepared to collect primary data from 205 respondents. It included closed-ended questions focusing on demographic details and SIP investment behaviour, enabling effective stratification and statistical analysis.

5-point Likert Scale: A 5-point Likert scale is a commonly used rating scale that allows respondents to express the degree of their agreement, satisfaction, or opinion on a particular statement or question. It provides quantifiable data for measuring attitudes, perceptions, or behaviours.

Data Analysis Tool

A data analysis tool refers to software or methods used to process, summarize, interpret, and analyse data collected in a research study. These tools help researchers identify patterns, test hypothesis, and draw meaningful conclusions



from data obtained from primary sources and secondary sources.

Linear Regression:

Linear regression is a statistical method used to model the relationship between two variables, one dependent variable (outcome) and one or more independent variables (predictors).

It helps in predicting the value of the dependent variable based on the values of the independent variables.

ANOVA in Simple Regression

ANOVA (Analysis of Variance) in the context of simple linear regression is used to analyse the overall significance of the regression model. It answers "Does the independent variable (X) significantly explain the variation in the dependent variable (Y)?"

Regression Analysis Coefficient

Regression analysis coefficient refers to the numerical value that represents the relationship between an independent variable (predictor) and the dependent variable (outcome) in a regression model.

Types of Regression Coefficients:

Unstandardized coefficient (B): Actual change in Y per unit change in X

Standardized coefficient (Beta): change in Y measured in standard deviations

Independent and Dependent Variables

Dependent Variable (Y): It is the outcome or target that is to be predicted or explained.

Independent Variable (X): It is the input or predictor variable used to forecast the value of Y.

In the given research study dependent variable taken is:

- ISFC- Investor Satisfaction and Future Commitment
- Independent Variables are:
- FLSIP- Financial Literacy and SIP Adoption
- RPIB- Risk Perception and Investment Behaviour
- AUSIP- Awareness and Understanding of SIP
- FISIP- Factors Influencing SIP Investments

VII. DATA ANALYSIS AND HYPOTHESIS TESTING

Demographic Structure

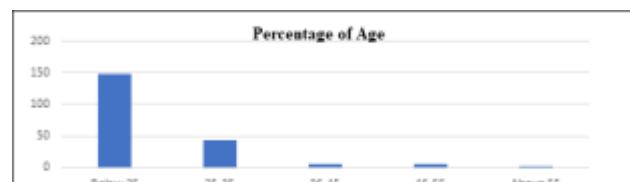
1. AGE

TABLE 1: AGE

AGE	FREQUENCY	PERCENTAGE
Below 25	147	71.70
25-35	44	21.46
36-45	6	2.93
46-55	6	2.93
Above 55	2	0.98
Total	205	100

Source: Primary Data

The study shows 71.70% of SIP investors are under 25, indicating strong interest from students and early professionals driven by financial awareness and digital access. The 25–35 age group (21.46%) also shows notable participation, likely due to stable incomes and long-term goals. Older age groups (36 and above) are underrepresented, suggesting a preference for traditional investments or lower digital engagement.



Source: Computed by Researcher Using MS Excel

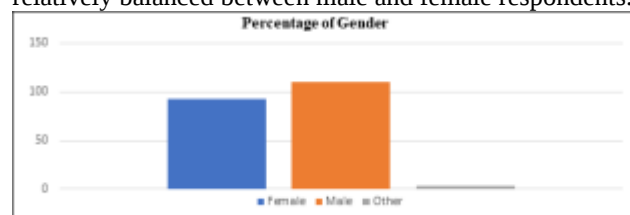
2. GENDER

TABLE 2: GENDER

GENDER	FREQUENCY	PERCENTAGE
Female	92	44.88
Male	110	53.66
Others	3	1.46
Total	205	100

Source: Primary Data

The study on the effectiveness of SIP investments among retail investors in Jharkhand, surveyed 205 respondents. Among the respondents, 53.66% male, 44.88% female, and 1.46% identified as other genders. While male forms the majority, indicating higher engagement in SIP investments, female participation is also significant, reflecting growing financial awareness and independence among women. Individuals identifying as other genders are underrepresented, suggesting limited outreach of the survey or lower involvement in SIPs. Overall, the sample appears relatively balanced between male and female respondents.



Source: Computed by Researcher Using MS Excel

3. MONTHLY INCOME

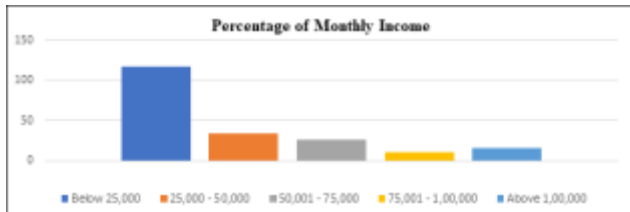
TABLE 3: MONTHLY INCOME

MONTHLY INCOME	FREQUENCY	PERCENTAGE
Below 25,000	118	57.56
25,000 – 50,000	34	16.59
50,001 – 75,000	26	12.68
75,001 – 1,00,000	11	5.37
Above 1,00,000	16	7.80
Total	205	100

Source: Primary Data



The majority of SIP investors (57.56%) earn below ₹25,000, indicating strong participation from low-income individuals like students or entry-level workers. Moderate-income groups (₹25,000–₹75,000) make up around 29% and likely use SIPs for consistent savings and future goals. Higher-income earners (above ₹75,000) form a smaller share, possibly preferring lump-sum investments or other asset classes.



Source: Computed by Researcher Using MS Excel

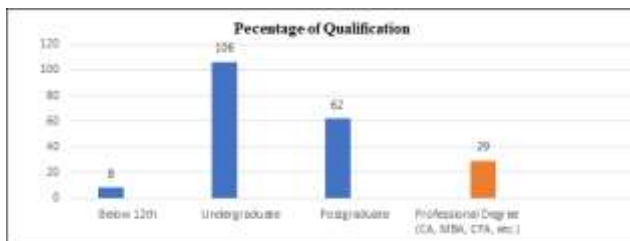
4. EDUCATIONAL QUALIFICATION

TABLE 4: EDUCATIONAL QUALIFICATION

QUALIFICATION	FREQUENCY	PERCENTAGE
Below 12 th	8	3.90
Undergraduate	106	51.70
Postgraduate	62	30.24
Professional Degree (CA, MBA, CFA, etc.)	29	14.16
Total	205	100

Source: Primary Data

The majority of SIP investors are Undergraduates (51.70%), indicating strong appeal among those with basic college education. Postgraduates (30.24%) and Professional Degree holders (14.16%) show that SIPs attract financially aware individuals seeking long-term wealth creation. A small share (3.90%) with education below 12th highlights growing financial inclusion among less-educated segments.



Source: Computed by Researcher Using MS Excel

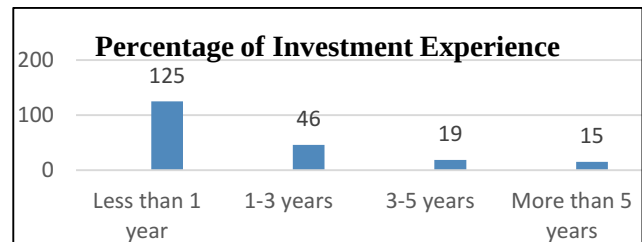
5. INVESTMENT EXPERIENCE

TABLE 5: INVESTMENT EXPERIENCE

EXPERIENCE	FREQUENCY	PERCENTAGE
Less than 1 year	125	60.98
1-3 years	46	22.43
3-5 years	19	9.27
More than 5 years	15	7.32
Total	205	100

Source: Primary Data

A majority of SIP investors (60.98%) are new, with less than 1 year of experience, reflecting rising financial awareness and digital access. Around 22.43% have 1–3 years of experience, showing growing commitment, while only 16.59% have stayed invested beyond 3 years. This indicates a need for better investor education to improve long-term retention and highlight SIPs' wealth-building potential.



Source: Computed by Researcher Using MS Excel

Objective Testing

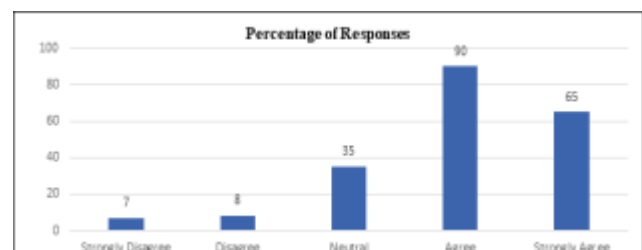
1. To assess the awareness and understanding of SIPs among retail investors

TABLE 6: AWARENESS AND UNDERSATNDING ABOUT SIP

RESPONSES	FREQUENCY	PERCENTAGE
Strongly Disagree	7	3.41
Disagree	8	3.90
Neutral	35	17.08
Agree	90	43.90
Strongly Agree	65	31.71
Total	205	100

Source: Primary Data

Over 75% of respondents (43.90% agreed, 31.71% strongly agreed) are aware of and understand SIPs, reflecting strong financial awareness. Around 17.08% remain neutral, indicating partial knowledge and potential for targeted financial literacy efforts. Only a small fraction (7.31%) lack awareness, highlighting the success of recent financial education initiatives.



Source: Computed by Researcher Using MS Excel

2. To measure investor satisfaction and confidence in SIP investments

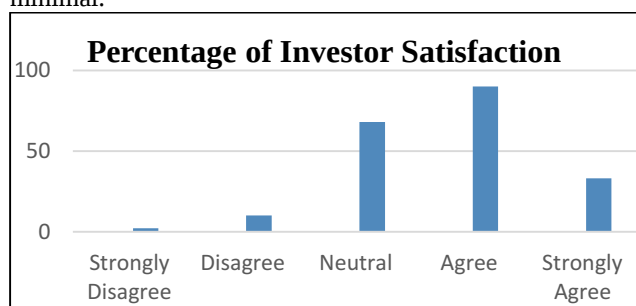


TABLE 7: INVESTOR SATISFACTION

RESPONSES	FREQUENCY	PERCENTAGE
Strongly Disagree	2	0.99
Disagree	10	4.93
Neutral	68	33.50
Agree	90	44.33
Strongly Agree	33	16.25
Total	203	100

Source: Primary Data

A majority of investors (60.58%) are satisfied with their SIP returns, indicating trust in SIPs as a reliable long-term investment option. About 33.50% remain neutral, possibly due to being early in their investment journey or awaiting expected outcomes. Only 5.92% expressed dissatisfaction, showing that negative experiences with SIP returns are minimal.



Source: Computed by Researcher Using MS Excel

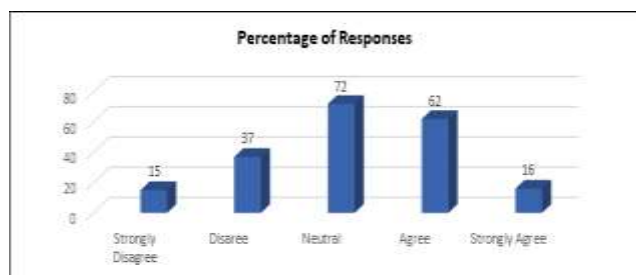
3. To identify challenges investors face in SIP investments

TABLE 3: MARKET FLUCTUATIONS DISCOURAGE INVESTORS

RESPONSES	FREQUENCY	PERCENTAGE
Strongly Disagree	15	7.43
Disagree	37	18.32
Neutral	72	35.64
Agree	62	30.69
Strongly Agree	16	7.92
Total	202	100

Source: Primary Data

About 38.61% of investors feel discouraged by market fluctuations, indicating that volatility and related challenges impact a significant portion of SIP participants. A large neutral group (35.64%) suggests uncertainty or limited experience with such issues. Meanwhile, only 25.75% disagree, showing that relatively few investors see SIPs as entirely unaffected by market ups and downs.



Source: Computed by Researcher Using MS Excel

VIII. HYPOTHESIS TESTING

Model	Variables Entered	Variables Removed	Method
1	FLSIP, RPIB, AUSIP, FISIP ^b		Enter

a. Dependent Variable: ISFC

b. All requested variables entered.

The "Variables Entered/Removed" table shows that four key predictors—FLSIP, RPIB, AUSIP, and FISIP—were included in the regression model to analyze factors influencing Investor Satisfaction and Future Commitment (ISFC) in SIPs. All variables were entered simultaneously using the Enter method, treating them as equally important. This approach reflects a comprehensive analysis of how financial literacy, risk perception, awareness, and influencing factors collectively and individually impact investor confidence and long-term SIP commitment.

Model Summary

Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.689 ^a	.475	.464	.52942

a. Predictors: (Constant), FLSIP, RPIB, AUSIP, FISIP

The Model Summary shows that the regression model explains 47.5% of the variation in Investor Satisfaction and Future Commitment (ISFC), with a strong positive correlation ($R = 0.689$) between the predictors—FLSA, RPIB, FISI, and AUSIP—and ISFC. The Adjusted R^2 of 0.464 confirms a good model fit without overfitting, and the standard error of 0.52942 indicates reasonable prediction accuracy. Overall, the model suggests that financial literacy, risk perception, influencing factors, and SIP awareness significantly impact ISFC, though 52.5% of the variation remains unexplained, pointing to the role of other potential factors.

ANOVA^a

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	50.640	4	12.660	45.168	.000 ^b
	Residual	56.057	200	.280		
	Total	106.697	204			

a. Dependent Variable: ISFC

b. Predictors: (Constant), FLSIP, RPIB, AUSIP, FISIP

The ANOVA table confirms that the regression model, including FLSIP, RPIB, AUSIP, and FISIP, is statistically significant in explaining Investor Satisfaction and Future Commitment (ISFC) in SIPs. With an F-value of 45.168 and a p-value of .000 ($p < 0.001$), the model shows a strong overall impact. The predictors explain a substantial portion



of the variance in ISFC, highlighting the importance of financial literacy, risk perception, SIP awareness, and influencing factors in shaping investor satisfaction and long-term commitment.

Coefficientsa

Standardized

Model Unstandardized Coefficients Coefficients t Sig.

		B	Std. Error	Beta		
1	(Constant)	.968	.238		4.068	.000
	AUSIP	.120	.062	.139	1.925	.056
	FISIP	.024	.076	.023	.308	.758
	RPIB	.149	.071	.140	2.106	.036
	FLSIP	.472	.064	.502	7.429	.000

a. Dependent Variable: ISFC

The coefficients table reveals that FLSIP (Financial Literacy and SIP Adoption) has the strongest and most significant positive impact on Investor Satisfaction and Future Commitment (ISFC), with a beta of 0.502 ($p = .000$). RPIB (Risk Perception and Investment Behaviour) also significantly contributes (beta = 0.140, $p = .036$), indicating that understanding risk supports greater satisfaction. AUSIP (Awareness and Understanding of SIP) shows a marginally significant positive influence (beta = 0.139, $p = .056$), while FISIP (Factors Influencing SIP Investment) has no significant effect (beta = 0.023, $p = .758$), suggesting external influences are less impactful when literacy and awareness are strong.

Hypothesis Testing

Based on the regression analysis results, the hypothesis Higher financial literacy leads to increased SIP adoption among retail investors in Jharkhand is accepted. The overall model is statistically significant ($F = 45.168$, $p = 0.000$) and explains approximately 47.5% of the variance in SIP adoption, as indicated by the R Square value ($R^2 = 0.475$). Among the independent variables, Financial Literacy related to SIP (FLSIP) shows a strong and statistically significant positive relationship with SIP adoption ($\beta = 0.502$, $p = 0.000$), making it the most influential factor in the model. This clearly suggests that higher financial literacy significantly contributes to increased adoption of Systematic Investment Plans among retail investors in Jharkhand, thereby validating the hypothesis.

IX. FINDINGS

The survey findings indicate a strong and growing awareness of Systematic Investment Plans (SIPs), with over 75% of respondents understanding their purpose and benefits, reflecting successful financial literacy efforts. SIP adoption appears to be a recent trend, as nearly 61% of investors have less than one year of experience and 71.7% are below 25 years of age, demonstrating increasing investment participation among students and young

professionals. The data also reveals that SIPs are particularly appealing to individuals with lower monthly incomes, as 57.56% of investors earn below ₹25,000, highlighting the accessibility and low-entry nature of SIPs. Despite this positive trend, long-term investment continuity remains limited, with only 7.32% having SIP experience beyond five years. Satisfaction levels are generally favourable, with about 60.6% of respondents content with their returns, yet a significant neutral segment (around 33–35%) suggests a need for further education and guidance. Additionally, nearly 39% report facing challenges related to market volatility, fund selection, or lack of proper guidance.

The demographic distribution shows a fairly balanced gender participation, with males at 53.66% and females at 44.88%, indicating growing financial involvement across genders. Academically, over half (51%) of SIP investors are undergraduates, further emphasizing that SIPs are gaining traction among early-career individuals. However, participation among individuals above 35 years is low (less than 7%), implying either limited awareness or a preference for traditional investment avenues such as fixed deposits or real estate.

Overall, the analysis suggests that SIPs have become a popular and feasible investment option among young, low-income, and early-stage investors, driven by increasing financial awareness but still requiring improved guidance and long-term retention strategies.

X. CONCLUSION

The analysis aimed to explore the key determinants of Investor Satisfaction and Future Commitment in the context of Systematic Investment Plans (SIPs), using a multiple regression model that included four predictors: Financial Literacy and SIP Adoption (FLSIP), Risk Perception and Investment Behaviour (RPIB), Awareness and Understanding of SIP (AUSIP), and Factors Influencing SIP Investment (FISIP). The findings across the regression, ANOVA, and coefficients tables collectively offer meaningful insights into how these variables influence investor behaviour.

The model was found to be statistically significant overall ($F = 45.168$, $p < 0.001$), indicating that the combination of the four predictors explains a substantial proportion of the variance in ISFC. Among the predictors, financial literacy, and SIP adoption (FLSIP) emerged as the most significant and influential factor ($\beta = 0.502$, $p < 0.001$). This underscores the vital role that financial education and informed SIP participation play in shaping investor confidence and their commitment to continued investment. Similarly, risk perception and investment behaviour (RPIB) was also found to be a significant predictor ($\beta = 0.140$, $p = 0.036$), suggesting that investors who better understand and manage risk tend to be more satisfied and committed to SIPs.



While awareness and understanding of SIP (AUSIP) showed a positive relationship with ISFC ($\beta = 0.139$), its influence was only marginally significant ($p = 0.056$), indicating a potential impact that may become clearer with a larger sample or more precise measurement. On the other hand, factors influencing SIP investment (FISIP) did not significantly contribute to ISFC ($p = 0.758$), suggesting that external influences may have a lesser effect when internal factors like knowledge and behaviour are already accounted for.

In conclusion, investor satisfaction and long-term commitment to SIPs are primarily driven by their financial knowledge and ability to assess and manage investment risk, rather than by external influences. Addressing these core areas through structured education and engagement can foster a more stable and confident SIP investor base.

XI. SUGGESTION

The findings highlight the need for targeted financial literacy initiatives that specifically address Systematic Investment Plans (SIPs). Financial institutions, regulators, and educators should prioritize structured awareness campaigns that empower investors with the knowledge required for sustained and satisfying investment behaviour. Simplifying complex concepts such as market risk and returns through workshops, tutorials, and interactive tools can further enhance investor confidence and decision-making capabilities. As awareness and understanding related to SIPs continue to show positive growth, clear communication on their benefits, flexibility, and long-term wealth creation potential will help strengthen investor engagement. Moreover, given that external influences such as marketing or peer pressure have shown limited impact, it is essential to channel resources toward capacity-building programs that enhance individual financial capability and promote informed investment choices.

Future Scope

Future research should focus on a deeper behavioural analysis of SIP investors to understand the psychological and financial factors—such as risk appetite, financial literacy, and saving habits—that influence investment decisions across various age and income groups. Long-term tracking of SIP investors is also essential to observe how investment behaviour changes with shifts in income levels, life stages, and market conditions. Comparative studies between SIPs and other financial instruments like fixed deposits, PPF, stocks, and mutual funds can provide insights into why certain demographic segments prefer SIPs while others do not.

Further investigation is needed to evaluate the effectiveness of financial education and literacy initiatives, particularly among middle-aged and high-income groups where SIP participation remains low. Additionally, examining the growing influence of digital platforms—such as mobile apps, fintech services, and online investment tools—can help explain how technology is shaping SIP engagement,

especially among younger and low-income individuals. Extending the study to include rural and semi-urban populations will also be crucial to identify geographic disparities in SIP awareness, accessibility, and adoption.

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